

Program : Diploma in Computer Application and Business Management	
Course Code : 3252	Course Title: Financial Management
Semester : 3	Credits: 4
Course Category: Program Core	
Periods per week: 4 (L:3, T:1, P:0)	Periods per semester: 60

Course Objectives:

- To provide an insight into the fundamental concepts of financial management, idea about sources of finance, concept of capital structure, capital budgeting techniques and dividend policy.

Course Prerequisites:

Topic	Course code	Course name	Semester
Entire course		Basic accounting	1
Entire course		Cost accounting	2

Course Outcomes:

On completion of the course, the students will be able to:

CO n	Description	Duration (Hours)	Cognitive Level
CO1	Summarize the concept of finance, goals/objectives of financial management and functions of financial manager.	10	Understanding
CO2	Demonstrate and apply the tools of Capital budgeting techniques	16	Applying
CO3	Illustrate the concept of sources of finance.	18	Understanding
CO4	Outline the management of working capital and dividend decisions.	14	Applying
	Series Exam	2	

CO – PO Mapping:

Course Outcomes	PO1	PO2	PO3	PO4	PO5	PO6	PO7
CO1	3						
CO2	3						
CO3	3	2					
CO4	3						

3-Strongly mapped, 2-Moderately mapped, 1-Weakly mapped

Course Outline:

Module Outcomes	Description	Duration (Hours)	Cognitive Level
CO1	Summarize the concept of finance, goals/objectives of financial management and functions of financial manager		
M1.01	Describe the concept of finance	1	Understanding
M1.02	State the meaning and nature of financial management	1	Understanding
M1.03	Describe the importance and scope of financial management	2	Understanding
M1.04	Explain the goals or objectives of financial management	3	Understanding
M1.05	Explain the functions of a financial manager	2	Understanding
M1.06	Explain Financial planning& organization of finance function	1	Understanding
Contents: Introduction to financial management Concept of finance - Meaning of financial management - Importance and scope of financial management - Objectives of financial management - Functions of a financial manager, Financial planning, Organization of finance function.			
CO2	Demonstrate and apply the tools of capital budgeting techniques		
M2.01	Describe Capitalization and Capital Budgeting	1	Understanding
M2.02	List out the steps in the process of capital budgeting	1	Understanding
M2.03	Explain Time value of money	2	Understanding
M2.04	Describe cash flows & the evaluation methods for determining cash flows	2	Understanding

M2.05	Non discounted cash flow methods Payback period, ARR, -Interpretation of Results with simple problems	4	Applying
M2.06	Discounted cash flow methods- NPV, IRR, Profitability Index-solve simple problems	6	Applying
	Series Test – I	1	
Contents: Investment Decisions Capitalization, Meaning of Capital Budgeting - Steps in the process of capital budgeting - Time value of money - Cash flows - Evaluation methods for determining cash flows-Non discounted and discounted cash flows - Payback period, ARR, NPV, IRR, Profitability Index- solve simple problems			
CO3	Illustrate the concept of sources of finance		
M3.01	Describe various Sources of Finance	2	Understanding
M3.02	Explain the meaning of Owned capital and Borrowed capital	2	Understanding
M3.03	Elaborate the meaning of Shares and Debentures	2	Understanding
M3.04	Describe the types of Shares and Debentures	3	Understanding
M3.05	State the concept of Ploughing back of profit	1	Understanding
M3.06	Explain the concept of cost of capital	1	Understanding
M3.07	Explain Capital Structure decision	1	Understanding
M3.08	Describe Optimum Capital Structure & the theories of Capital Structure	2	Understanding
M3.09	State the meaning of the term Capital Gearing	1	Understanding
M3.10	State the meaning of the term Leverages	1	Understanding
M3.11	Explain the types of leverages	2	Understanding
Contents: Financing Decisions Sources of finance - Owned and Borrowed capital-Shares and Debentures - Ploughing back of Profit - Cost of capital - Capital structure decision-optimum capital structure-capital structure theories-Capital Gearing - Leverages.			
CO4	Outline the management of working capital and Dividend decision.		
M4.01	Describe the meaning of Working capital	1	Understanding
M4.02	Explain the concepts of working capital	2	Applying

M4.03	Describe the different components of working capital	2	Understanding
M4.04	Explain the factors determining the working capital requirements of a firm	2	Understanding
M4.05	Explain the meaning of Dividend	2	Understanding
M4.06	Describe the forms of Dividend	2	Understanding
M4.07	Explain the meaning of Dividend policy	1	Understanding
M4.08	Explain the factors affecting dividend policy	2	Understanding
	Series Test – II	1	

Contents:

Management of working capital and Dividend decision

Meaning of Working capital-Different components of working capital- Factors determining the working capital requirements of a firm- Meaning of Dividend- Forms of Dividend-Meaning of Dividend policy- Factors affecting dividend policy.

Text / Reference:

T/R	Book Title/Author
R1	Dr.S N Maheswari, Financial Management- Principles and practice , Sulthan Chand and Sons
R2	I M Pandey, Financial Management , Vikas Publishing House, 1 January 2016
R3	Prasanna Chandra , Fundamentals of Financial Management , McGraw Hill, 6e
R4	Palanivelu, Financial Management-Theory, Problems and Solutions , S Chand and Company Limited, 3 rd Revised Edition
R5	M Y Khan , Financial management Text, Problems and cases , McGraw Hill; 8 th edition

Online Resources:

Sl.No	Website Link
1	https://ocw.mit.edu/courses/sloan-school-of-management/15-511-financial-accounting-summer-2004/lecture-notes/
2	https://www.edupristine.com/blog/capital-budgeting-techniques
3	https://www.managementstudyguide.com/financial-management.htm
4	https://www.toppr.com/guides/business-environment/business-functions/financial-management/